27

# Evolution or revolution in international investment arbitration? The descent into normlessness

M. SORNARAJAH

## I Introduction

There is evident disquiet about foreign investment arbitration.[1] Some of the titles of the papers in this collection demonstrate that disquiet. There is need to explore the schisms that have opened up in the last few years in a field that was a dormant area of international law not so long ago. A book written just three years ago was euphoric in proclaiming that there was such common ground in the law that was being evolved by arbitration tribunals that it was possible to speak of almost a common law on foreign investment.[2] A more recent book even contemplates the possibility of multilateral rules on foreign investment having evolved as a result of investment treaties and intepretations placed on them by arbitral tribunals.[3] Another work seeks to virtually codify the rules created through investment arbitration with Diceyan pomp.[4] Some have contemplated the creation of a regime on foreign investment resulting from the treaties and the arbitrations based on them. There is an argument that the developments relating to treaties and investment arbitration has brought about a regime which supposes the existence of community expectations about norms and their enforcement.[5]

[1] This is evidenced in the literature with a whole book appearing with a title that indicates concern. See Michael Waibel *et al.* (eds.), *The Backlash against Investment Arbitration: Perceptions and reality* (The Hague: Kluwer, 2010).

[2] Campbell McLachlan, Laurence Shore, and Matthew Weiniger, *International Investment Arbitration: Substantive principles* (Oxford University Press, 2007) paras. 1.48–1.56.

[3] Stephan Schill, *The Multilateralisation of International Investment Law* (Cambridge University Press, 2009).

[4] Zachary Douglas, *The International Law of Investment Claims* (Cambridge University Press, 2009).

[5] See e.g. Jeswald Salacuse, 'The emerging global regime for investment', *Harvard International Law Journal*, 51 (2010), 427; see also Jeswald Salacuse, *The Law of Investment Treaties* (Oxford University Press, 2010).

Another collection, while conceding the problems that have arisen, contains attempts at apologetic justification.[6] There are even efforts to constitutionalise the principles on foreign investment that have been created.

All this comes at a time when the law is hurtling into 'normlessness'[7] as a result of State reactions to expansive interpretations placed on treaty prescriptions.[8] There has been resistance to the manner in which treaties have been interpreted in arbitral awards to create obligations binding on States far beyond what was originally intended in the treaties. The assumption of this near legislative power by arbitrators chosen without a mandate to fulfil such a function has resulted in responses by States which undermine considerably the existing system of investment treaty arbitration. The creation of wide preclusions to State liability that could arise under the treaties prevents further expansionism. Some States have withdrawn from the system and others have threatened to do so. Some States have embarked on reviews of the utility of the system.[9] In response, some arbitrators, at least, are imposing stringent restrictions on the jurisdictional threshold which will considerably restrict the number of arbitrations that would be brought. They also show a tendency to rein in the expansionism that was initiated by another group of arbitrators. These disparate trends show neither evolution nor revolution but an ongoing conflict that either will bring a new system – resulting in a revolution – or will keep the old, simply because one or the other of the camps wins the tussle.

Much of the turbulence in the field has been caused by the immense activity in investment treaty-making and the profusion of arbitral awards resulting from disputes based on jurisdiction assumed under these treaties. It has become a lucrative area of practice as many international firms and arbitrators have jumped into the area to fish in its troubled waters. The malaise that afflicts the law must be identified. It lies not in any style in interpretation of treaties or the differences in the wording of the treaties but in the fact that a large number of arbitrators

[6] Waibel *et al.* (eds.), *The Backlash against Investment Arbitration.*

[7] A coined word denoting intense norm conflict, similar to the concept of 'anomie' as used by the sociologist, Robert Merton: see e.g. Robert Merton, 'Norm structure and anomie', *American Sociological Review*, 3 (1938), 672.

[8] M. Sornarajah, 'Towards normlessness: The ravage and retreat of neo-liberalism in international investment law', *Yearbook of International Investment Law and Policy*, 2 (2010), 595.

[9] South Africa announced a review and has released a report. The United States also has a pending review of investment treaties. States like Argentina and the Czech Republic have expressed displeasure.

sought to give new ideological interpretations to the treaties. This is a fact that must be squarely faced. The ideology of neoliberalism dominated the last decade of the twentieth century until the 'free fall'[10] of the world economy in 2008. Many arbitrators sought to give effect to what was the dominant economic thought of the period in their awards. In so doing, they took the law on expansionary paths it was not intended to take. The awards were dictated by an ideological fervour of the times which did not permit any contrary ideas to stand in the way of articulation of principles that were based on free-market fundamentalism. Arbitrators readily assumed this role because of their own natural inclination towards such a view but also because it profited the profession they belonged to. They were however met with objections by arbitrators with a fidelity to the neutrality that is the basis of arbitration and to the tenets of arbitration not to go beyond the mandate that was entrusted to them by the parties. It is this tussle that marked the descent into 'normlessness'[11] that has ensued.

This chapter describes the nature of the normlessness and contemplates the possible outcomes. It puts forward the view that the law has been taken back to the situation of the period of a similar chaos when the clash between the capital-exporting and capital-importing nations regarding the New International Economic Order (NIEO) resulted in two sets of norms. The investment treaty system was to settle rules of investment protection as between the parties. The evolution of the system has been subjected to severe strains as a result of arbitral adventurism motivated by ideological considerations. This chapter begins by identifying the old conflict that existed and its attempted solution through bilateral investment treaties. It characterises that settlement itself as flawed because it contained asymmetric rules that were exploited by a self-serving legal profession and arbitrators to the detriment of

[10] Joseph Stiglitz, *Free Fall: America, free markets and the sinking of the world economy* (New York: W. W. Norton, 2010). In an earlier book, Stiglitz had described the last decade of the twentieth century as the 'roaring nineties': Joseph Stiglitz, *The Roaring Nineties* (London: Penguin Books, 2003). It was during this decade that investment treaties proliferated.

[11] 'Normlessness' is a concept that has an affinity to the theory of anomie put forward by the sociologist, Robert Merton. Merton explained crime on the basis of the existence of groups which did not accept the rules stated by the community but accepted their own values and norms. When large-scale dissent of this sort takes place, a situation of '*anomie*' results giving rise to crimes as behaviour which is in accordance with one set of norms but which is criminal according to the other set of norms. The notion is varied here to indicate the existence of two sets of norms both of which have credible claims to legality, resulting in a chaotic schism.

developing countries when they increased the asymmetries by building more-onerous rules of investment protection on the basis of nebulous provisions in the investment treaties.

## II The old conflict

I had identified the area of international law on foreign investment as an area of intense norm conflict since its beginning.[12] The law was never settled simply because of the interests at conflict. In the beginning, the law was very much regional, confined to the investment relations between the US and Latin America. In the rest of the world, investment took place in the colonial context. The regional law was based on the conflict between the international minimum standard and the Calvo doctrine. The conflict was never settled, though power equations clearly favoured the international minimum standard. The conflict was universalised in the period of decolonisation with the former colonial powers subscribing to the international minimum standard and the newly independent States supporting sovereignty-based control norms in documents associated with the New International Economic Order. Investment treaties which began life in 1959 and had reached the figure of around 400 by the 1990s[13] were a symbol of these conflicts of norms. In the last decade of the twentieth century, the 'roaring nineties', the number of treaties catapulted to reach almost 3,000. States sought to bring about settled rules by signing treaties bilaterally so as to escape the conflict of norms that existed on the international scene. They were very much *lex specialis* in origin. The fact that the developing States were signing bilateral investment treaties while maintaining a stance that favoured the NIEO approach has been variously explained.[14] The truth is that neither the developing States nor the developed States were prepared to make a multilateral treaty. The failure of the effort of

[12] M. Sornarajah, *The International Law on Foreign Investment*, 3rd edn (Cambridge University Press, 2010).

[13] According to Kenneth Vandevelde, there were 386 treaties by 1989: Kenneth Vandevelde, 'A brief history of international investment agreements' in Karl Sauvant and Linda Sachs (eds.), *The Effect of Treaties on Foreign Direct Investment: Bilateral investment treaties, double taxation treaties, and investment flows* (Oxford University Press, 2009), p. 16.

[14] See Andrew Guzman, 'Why LDCs sign treaties that hurt them', *Virginia Journal of International Law*, 38 (1998), 639. The explanation is contested by Jose Alvarez, 'The once and future foreign investment regime' in Mahnoush Arsanjani *et al.* (eds.), *Looking to the Future: Essays on international law in honour of Michael Reisman* (Leiden: Martinus Nijhoff, forthcoming 2011), pp. 607, 614.

the OECD to make a multilateral agreement on investment confined to developed States attests to this fact. It is evident that like the developing countries, developed countries too were adopting a duplicitous attitude for though they made bilateral treaties, they would not participate in a multilateral treaty even among themselves. The developing States made bilateral treaties yet did not change their domestic laws on investment or their contractual practices significantly in response to these treaties. In fact, as has been held, the protected investments under the treaties depended on the manner of the admission of the investment into the host State as well as its subsequent conduct.[15]

In hindsight, it is possible to conclude that a larger number of the treaties that were made in the 1990s were made in the belief that investment treaties will promote flows of investment into developing States, and international financial institutions assiduously promoted this belief. But considerable doubt has been cast on this view.[16] Judging by the views stated by mid-level developing countries like South Africa, it is clear that the developing countries lacked any idea as to the implications of the treaties they were making. They were misled into the belief that economic development was not possible unless foreign investment flows occurred and that such flows would occur only if investment treaties were made.

It would be a gross error to say that these treaties contributed to customary international law or confirmed pre-existing customary international law. The treaties were not sufficiently uniform to create such law. Each treaty was separately negotiated and constituted a particular balance of rules struck through negotiations. Though their outer form was similar, they did not subscribe to the same rule. The argument that the Hull standard of compensation has become customary international law, which is the usual illustration put up by those who argue that customary international law has been created by the treaties, does not hold water. It is true that a large number of the treaties contains the Hull standard. But to determine the extent of the protection they give to investment through the operation of the Hull standard, one has to take into consideration the nature of the definition of the protected

[15] *Fraport AG Frankfurt Airport Services Worldwide* v. *Philippines* (ICSID Case No. ARB/03/25, Award of 16 August 2007).

[16] There is a spate of economics literature which has examined whether investment treaties do in fact promote investment flows into developing countries. The conclusions to be derived from these studies are not conclusive but they do throw some doubt on the main belief with which these treaties are concluded: see especially the various contributions in Sauvant and Sachs (eds.), *The Effect of Treaties on Foreign Direct Investment*.

investment which varies with treaties, the scope of the host State's entry laws which regulate such protected investment (as the investment has to be made in accordance with such laws) and a host of other limiting factors which are unlikely to be the same in each treaty. There is nothing to indicate that BITs have been followed by changes in internal laws. Rather, the constitutions of most developing countries reflect the doctrine of permanent sovereignty over natural resources and the contract forms preferred, like the production-sharing agreement, emphasise host State control rather than external control through treaty principles. Despite the existence of these treaties, international law on foreign investment retains the original flaw of discordant interests that characterised its creation in the practice of the United States and the Latin American States. Though American writers may pretend that what the US espoused was customary international law, that was never in fact the case.[17] The Latin Americans clearly did not accept these norms and the newly independent States of Asia and Africa did not accept them either. It is a facet of American exceptionalism to pass off the prescriptions of the United States as international law. The prescriptions were made through weak sources of international law which included official statements, awards of bilateral arbitral commissions imposed on States and writings of American publicists, highly qualified no doubt. These prescriptions were always contested by Latin American States. Later, they were contested by Asian and African States through the NIEO resolutions. The fact that these resolutions are said to be weak sources[18] is of little consequence as what is claimed by American writers to be customary international law also depend on weak sources of law. And further, the fact that investment treaties were made in a particular decade does not alter the picture simply because the treaties did not contain rules of uniform application.

The investor–State dispute-settlement provision was not a feature of the early treaties.[19] It became routine in later times. The treaties made in the 1990s uniformly contained such provisions. Nevertheless, it must be remembered that early treaties did not have such provisions and this is

[17] e.g. Alvarez, 'The once and future foreign investment regime', p. 619.

[18] e.g. *ibid.*, p. 618.

[19] Aron Broches, 'Bilateral investment treaties and the arbitration of investment disputes' in Jan Schultsz and Albert Jan van den Berg (eds.), *The Art of Arbitration: Essays on international arbitration: Liber amicorum Pieter Sanders* (The Hague: Kluwer, 1982) distinguished between the types of dispute-settlement clauses found at the time of his writing in the different investment treaties. It was exceptional to find treaties with unilateral rights of arbitration in the foreign investor, a feature that was to become common in treaties concluded in the last decade of the twentieth century.

matched by new treaties which are dispensing with the investor–State dispute-settlement provision.[20] Investment treaty arbitration took off only with the discovery of the technique of founding jurisdiction on the basis of dispute-settlement provisions of investment treaties in *AAPL* v. *Sri Lanka*, though treaties containing similar language had existed for some time. This phenomenon of startling significance for international law – enabling individuals or corporations, not bearers of personality in positivist international law to sue States – had gone unnoticed by the most percipient commentators of the period who commented on the treaties prior to 1990, the year of *AAPL* v. *Sri Lanka*, where the technique was first recognised. Since the recognition of establishing jurisdiction through investment treaties came to be recognised, the number of arbitrations sky-rocketed, leading no doubt to the economic development of arbitrators and law firms and to the detriment of the developing States to which the system was supposed to bring economic development. These trends were promoted through the repeated appointment of arbitrators prone to promote expansionist views of the law based on investment treaties. There is considerable doubt in modern literature as to whether investment treaties promote flows of foreign investment and thereby lead to the economic development of host developing States.[21] It would appear that the sovereignty costs of the investment treaties and the consequent risk of investment arbitration far outweigh the elusive benefits that investment treaties bring to developing States. This would be particularly so because of the expansive interpretations that arbitrators have placed on provisions in the investment treaties, thereby subjecting States to greater risk of investment claims. The mathematical calculations made on the basis of damages awarded[22] do not

[20] See e.g. the Australia–United States Free Trade Agreement, www.dfat.gov.au/fta/usfta/index.html (last accessed 7 December 2010); and the Philippines–Japan Economic Partnership Agreement, www.mofa.go.jp/policy/economy/fta/philippines.html (last accessed 7 December 2010), both of which lack investor–State arbitration provisions. Since the *SGS* case (*SGS Société Générale de Surveillance SA* v. *Republic of the Philippines* (ICSID Case No. ARB/02/6, Decision on Jurisdiction of 29 January 2004)), the Philippines has demonstrated a reluctance to make treaties with such provisions. The Australia–United States Free Trade Agreement is explained on the ground that the two countries have the same common law system. This is not much of a rationalisation as there are other States with which the US has made treaties which also have common law systems (such as e.g. Singapore).

[21] See e.g. the ch. 6 by Jonathan Bonnitcha in this volume and the references cited therein.

[22] The argument is sometimes made that the awards eventually given are small in comparison with the huge claims that are made. This is beside the point. There are reputational costs to the State arising from allegations of unfair treatment. Besides, the need to mount defences to spurious claims involves costs that a developing country can hardly bear. It

outweigh the risk of spurious claims brought by law firms that fish for such litigation and mount them on the basis of fanciful theories of jurisdiction and substantive claims, resulting in litigation and reputational costs to the respondent States. Besides, since the system has been shown to be so expansive, the threat of arbitration has become a powerful way of bringing pressure on States to desist from environmental and other measures to promote the public welfare.[23] In the light of these developments, States are taking measures which may result in the demise of investment arbitration, though the euphoric phase is still showing signs of life. This may be due to the fact that the profession which created the goose that laid golden eggs may be afraid to admit that goose is nearing its end. There is also considerable academic effort in keeping the system alive as academics also generate wealth and fame for themselves through their association with the legal profession in the lucrative endeavour that investment arbitration presents.

Signs of the decay of the system are evident. The mildest reaction is that newer treaties show that there are broad and uncertain defences that are being created. The national security exception is stated almost always in subjective terms in the newer treaties.[24] Exception is made for interferences that can be justified on grounds of health, morals or public welfare. There are exceptions relating to interferences justified on the need for environmental safeguards and human rights considerations. The treaties state that 'except in rare instances', an expropriation would be treated as regulatory. The formula of anything 'tantamount to an expropriation' which enables fanciful expansion of the concept of expropriation goes missing in the new treaties. The possible expansion of the 'fair and equitable treatment' on the basis of arbitral imagination is restrained by tying it to customary international law in most of the newer treaties. In some, the phrase is simply not used. One would think that these are reactions of the developing world. On the contrary, these are changes that can be found in the American and Canadian treaties as well as in the more recent treaties made by developing countries. The new ASEAN Comprehensive Investment Agreement, which came into

also is apparent that a State which hires foreign firms stands a better chance of success, thereby creating more work for foreign law firms and greater costs for respondent States.

23 The *Ethyl* case is the obvious example (*Ethyl Corporation* v. *Canada* (NAFTA, Decision on Jurisdiction of 24 June 1998)). The extent of the pressure brought cannot be quantified. See especially Kyla Tienhaara, *The Expropriation of Environmental Governance: Protecting foreign investors at the expense of public policy* (Cambridge University Press, 2009), ch. 8.

24 The new Model BITs of the United States and Canada are indications. The many cases against Argentina may not have been possible if there had been a subjective statement of national security in the US–Argentina BIT.

force in 2010, contains the traditional statements on investment protection but also includes wide statements of defences to responsibility along similar lines that are identified above. It is still to be determined what the extent and scope of these express defences are.

What was described was the mildest reaction by the States to the present crisis. This reaction preserves the system. It introduces what commentators have optimistically described as balances into the treaties. The so-called balance itself destroys the purpose of investment protection which was the solitary concern of the older treaty system as well as of customary international law. The change must be noticed. It obviously results from the fact that the shoe is on the other foot.[25] The erstwhile capital-exporting States are becoming massive recipients of capital. They are becoming respondents in arbitrations. They may soon become targets of even larger numbers of claims. They are quick to break down the law that they had so assiduously created knowing well that it could become the stick to beat them with. Since the retreat is most visible in the US Model BIT, one could argue, taking a leaf from American exceptionalism, that the old law that the US created has been severely undermined. In fact, the displeasure with the new Model BIT is expressed by the veterans of American international law who can see their preferred system crumbling before them.[26]

There have been more severe reactions than the creation of defences. Some treaties leave out investor–State arbitration altogether.[27] This

[25] In the context of NAFTA, the United States and Canada have faced many arbitrations under provisions which they designed for use exclusively against Mexico. The unintended consequence was that they became respondents. Though the United States is yet to lose a case, it is obvious that it has taken measures to change the law. The NAFTA Commission, in its Interpretive Statement of 31 July 2001, removed the possible uses of the fair and equitable treatment standard which was fast becoming the obvious avenue for further arbitration by coupling it with customary international law, thereby removing an important breach through which further cases could have been mounted.

[26] See e.g. the view of Judge Schwebel on the US Model BIT (2004): Stephen Schwebel, 'The United States 2004 Model Bilateral Investment Treaty: An exercise in the regressive development of international law', *Transnational Dispute Management* (2006), 2, www.transnational-dispute-management.com.

[27] See e.g. the Australia–United States Free Trade Agreement, www.dfat.gov.au/fta/usfta/index.html (last accessed 7 December 2010); and the Philippines–Japan Economic Partnership Agreement, www.mofa.go.jp/policy/economy/fta/philippines.html (last accessed 7 December 2010). This could well become the pattern for future Philippines treaties as the country has had to face many arbitrations recently, principally *Fraport AG Frankfurt Airport Services Worldwide* v. *Philippines* (ICSID Case No. ARB/ 03/25, Award of 16 August 2007) and *SGS Société Générale de Surveillance SA* v. *Republic of the Philippines* (ICSID Case No. ARB/02/6, Decision on Jurisdiction of 29 January 2004). It

again keeps the treaty system but forestalls its extensive use as State-to-State arbitrations have been a rarity in the field. If it gathers steam, it will undermine considerably investor–State arbitration, which is the lifeblood of the present legal industry. It will send ICSID into the old days of lugubrious slumber. The case-load of ICSID seems to be on the increase but one has to wait and see whether the newer treaties will have an impact on the number of arbitrations once they take hold. The prospects of winning an arbitration diminish considerably in the light of the new defences that have been recognised as well as the responses of States which have explored further defences in existing international law like the necessity defence.

The more disconcerting phenomenon is the withdrawal of some States from the system. It would appear that many States which have been at the wrong end of the stick have withdrawn or are contemplating withdrawal. It is well known that Ecuador and Bolivia have withdrawn from the system and that Venezuela has withdrawn petroleum disputes from the system. There have been many threats from Argentina which, as is well known, is faced with over fifty arbitrations arising from its economic crisis. The Argentinian cases, as they hang around, will be illustrative to other States of the predicament they can get into as a result of investment treaties. The Argentinian cases demonstrate a tenacity in the respondent State to try out novel defences. It appears to be succeeding. It has exploited to the fullest the existing system and, in the process, successfully demonstrated its flaws. The presence of this constant demonstration does little good for the system. Argentina has also consistently threatened withdrawal. With the presence of Brazil, the most successful Latin American State which developed without investment treaties, it could well be that the Calvo doctrine will be back in Latin America.[28] Indeed, some writers are thinking out loud as to whether the United States is following the Calvo doctrine in its approach to the subject of investment arbitration. There are reviews of the investment treaty system in the United States and South Africa. South Africa has declared that it had made its existing investment treaties without fully understanding its

is reported that Thailand will show reluctance to include arbitration clauses in its State contracts after losing in *Walter Bau AG* v. *Thailand* (Award of 1 July 2009). Reactions in Pakistan to a series of investment arbitration awards were similar. The Pakistani Attorney-General remarked that the claims made exceeded the foreign exchange reserves of Pakistan.

28 Ignacio Vincentelli, 'The uncertain future of ICSID in Latin America', *Law and Business Review of the Americas*, 16 (2010), 409.

implications. Norway experimented with a model BIT which, had it been approved, would have been a turn around on investment protection. It was replete with articulations of the concern with environmental and other interests in the area.

Clearly, despite the vestiges of the old euphoria with investment arbitration, all is not well with investment arbitration. It is necessary to ask what led to this present position where there is neither 'evolution' nor 'revolution' as the title to the Sydney conference suggests, but a descent into the morass of 'normlessness'. If 'revolution' there be, then it is that dissent is growing and changes will have to occur. There may well be signs of this but the revolution is yet to turn the corner. It is more likely that the investment treaty system will go into disuse because of the uncertainties opened up by the extent of the defences that have been created both in the new treaties as well as in some arbitral awards. It may no longer be wise for foreign investors to bring claims as they cannot, as in the past, be assured of victory. Since tribunals are moving away from the practice of bifurcating costs and asking the losing party to pay more by way of costs, there would be an increasing deterrence to bring claims against States. There will be changes taking place. This chapter now examines what has brought the law in the area to the present situation which has been described and contemplates the possible future outcomes.

## III On killing the goose that laid the golden eggs

The fairy tale of the goose that laid golden eggs is a tale of greed.[29] The tale of investment arbitration is also a tale of greed.[30] Greed subverted a worthwhile system that could have matured to serve its genuine purpose

[29] In the fairy tale, the couple who owned the goose thought that its innards would be made of gold and dissected the goose to find the gold. It was a normal goose with normal innards. The fanciful thinking of the couple killed the goose and denied them of a steady income. So, too, ordinary treaties have been given extraordinary meanings to support spurts in arbitration. The system has been strained and may have to shut down, killing off a lucrative business because of the haste of some arbitrators to structure a system which the States did not want and that too at a time when the structure of investment flows were changing with the erstwhile capital exporters becoming the largest recipients of foreign capital. The elite few within the multinational law firms practicing in this area also jumped onto the bandwagon and fashioned fanciful theories of litigation on the basis of nebulous language in the treaties. The interaction between two small bands, arbitrators and a group of lawyers dominating, both intent on building up a lucrative business for themselves in the field, has led to the present morass.

[30] I have written a longer paper on this subject suggesting that there was a build up of an international law of greed in the neoliberal age: M. Sornarajah, 'A law for need or a law

had it not been subverted through greed and by an ideology that supported greed. Fanciful litigation theories based on the interpretations of terms of treaties which the parties never intended became the cause of a spurt in litigation. A small group of lawyers cornering the field of investment arbitration for themselves and an equally small group of arbitrators finding repeated appointment in the field have between them succeeded in tearing the system apart.[31] The academic profession has joined in to grab the crumbs from the table. The young are subverted by the extent of the lucre that is supposed to lie at the end of the rainbow. The field has begun in recent times to see challenges to arbitrators alleging bias and challenges to lawyers wearing different hats during their careers. It is an unhappy tale of unscrupulous greed thriving on a system that was purportedly built to ease poverty in the developing world. What follows is a short and incomplete list of the excesses that have been committed through arbitral adventurism. The list serves to identify the malaise that afflicts investment arbitration.

### *A Exorbitant theories of jurisdiction*

The idea that there could be arbitration of investment disputes at the unilateral instance of a foreign investor is an innovation that is startling in the context of any legal system – more so in that of international law, which did not, at least in the view of positivist international lawyers, recognise the personality of multinational corporations. In 1990, the year of the award in *AAPL* v. *Sri Lanka*, the case that initiated treaty-based investment arbitration, the common law did not recognise contracts that confer rights on third parties. The civil law systems were wary

for greed? Restoring the lost law in the international law of foreign investment', *International Environmental Agreements: Law Politics and Economics*, 6 (2006), 329. Others have remarked on a change within law towards a loss of values and an assumption that wealth creation should be the only touchstone for the validity of laws: see Anthony Kronman, *The Lost Lawyer: Failing ideals of the legal profession* (Cambridge, MA: Harvard University Press, 1993). See also Anthony Kronman, *Education's End: Why our colleges and universities have given up on the meaning of life* (New Haven, CT: Yale University Press, 2007).

[31] On repeat appointments of arbitrators, see Daphna Kapeliuk, 'The repeat appointment factor: Exploring decision patterns of elite investment arbitrators', *Cornell Law Review*, 96 (2010), 47. It is interesting to see to what extent these 'elite' arbitrators have contributed to the making of expansive interpretation of treaties and inquire whether they are appointed to perform this very task. There does not seem to be any extraordinary expertise in them in the field of investment law. Many did not even have a demonstrated grounding in international law or even public law.

of stipulations in favour of third parties (*stipulatio alteri*), though they had come to accept them in a limited number of situations.[32] The common law due to the existence of the doctrine of consideration for the making of contracts did not admit stipulations in favour of third parties, until it was changed by legislation. As a general principle of law, the validity of a *stipulatio alteri* would have been exceptional in most legal systems in 1990. The idea that international law had progressed towards the recognition of stipulations in favour of yet-unknown individuals and corporations would indeed be a novelty of immense proportions for a law still considered to be in a primitive state. Not only was the stipulation made in favour of entities lacking capacity in terms of international law but the entities may not have even been in existence at the time the stipulation was made.[33] Yet, investment arbitration has come to be based on that idea, which has been extended beyond the limits of credibility by arbitrators. There is no doubt that the ordinary meaning of the dispute-settlement provision in the treaties admits of the view taken in *AAPL* v. *Sri Lanka* and the cases since then in permitting jurisdiction on the basis of an appropriately worded dispute-settlement provision in investment treaties. It is to be admitted that the large number of treaties made in the 1990s do ordinarily provide for investor–State arbitration. Yet, there are theoretical difficulties that attend this conclusion.

Added to the theoretical difficulties inherent in the situation, the extensions made to the notion of jurisdiction on the basis of BITs have been subjected to severe strain. Thus, tribunals have held that jurisdiction could be invoked by citizens of a State against their own State merely by incorporating a company in the other treaty partner.[34] This defeats the whole purpose of the BIT as it is the State's own funds that are being re-routed into the State through the medium of the company incorporated abroad. It also defeats the purpose of the ICSID Convention which is to provide arbitration to aliens and not to citizens of the respondent State. There is a clear subversion of the reasons why investment treaties are made and the reason for the creation of ICSID. Though

[32] In terms of Roman law, the *donatio mortis causa* and the *fideicommissum* are given as examples.

[33] Both in the English concept of a trust and the Roman law concept of a *fideicommissum*, the ultimate beneficiaries were not known but the immediate transferee was known and a commitment was imposed on him.

[34] *Tokio Tokeles* v. *Ukraine* (ICSID Case No. ARB/02/18, Decision on Jurisdiction of 29 April 2004); the strong dissent of the chairman, Prosper Weil, contains the reasons why the decision is based on an exorbitant extension of jurisdiction.

the textual interpretation of the treaty may be satisfied, its purpose is defeated by holding that incorporation in another State with a treaty with their home State is sufficient to enable proceedings to be brought. Further, it has been held that companies could migrate into States with better investment protection and claim the protection of the investment treaty.[35] Smaller States like Holland and Mauritius favour such views even though it is obvious that no capital has really flowed from the State of migration into the host State which is being sued. There is a definite subterfuge involved in these arguments which are tainted with an obvious fraud on the part of the claimants. Yet, arbitrators have been willingly complicit in such fraud because it is convenient for them to create jurisdiction in such cases rather than lose out on business. It is difficult to find any kinder explanation for this obvious expansion of the circumstances in which jurisdiction can be established. The fact that the words may support the conclusion does not justify an international judge permitting an obvious fraud on the system. These are cases which have caused considerable disquiet but the theories of jurisdiction based on such ideas seem to be on the increase and are known to be actively encouraged by law firms which advise clients to incorporate in third States which have treaty protection in anticipation of disputes.[36] Such cases defeat the premises on which investment arbitration is based. In more recent investment treaties, States have sought to avoid such results through the inclusion of 'denial of benefits' provisions which entitle a State to deny protection for corporations which do not have any meaningful link with the other State Party to the treaty.

Equally interesting is the current debate on the definition of an 'investment'.[37] It must be noted that there are cases in which no investment could possibly have taken place. Thus, in the recent case, *Romak SA* v. *The Republic of Uzbekistan*, the claim concerned contracts for the sale of cereals. Even a neophyte would recognise that a sales contract could not be regarded as an investment in respect of which a treaty claim can be made. Yet, the tribunal went through the motions of deciding the dispute. At the end, after denying jurisdiction, it held that costs should be borne equally when it was pretty obvious that this was a vexatious

[35] *Aguas del Tunari* v. *Bolivia* (ICSID Case No. ARB/02/3, Decision on Jurisdiction of 21 October 2005).

[36] In *Conoco-Philips* v. *Venezuela* (ICSID Case No. ARB/07/30), a pending case, jurisdiction is based on such corporate migration in anticipation of the dispute.

[37] See e.g. ch. 3 by David A. R. Williams QC and Simon Foote and ch. 25 by Omar Garcia Bolivar in this volume.

case that a developing State had needlessly to defend, it being apparent that there was no investment that was capable of protection under the treaty.

More disconcerting is the manner in which the debate on the criteria for identification of a foreign investment has been undertaken. The so called *Salini* criteria included economic development as a criterion especially where ICSID arbitration is involved. This criterion was emphasised in the decision on annulment in *Patrick Mitchell* v. *Democratic Republic of the Congo*.[38] It has generally been accepted that the concept of investment has an objective criteria. In any event, many BITs specify in their preambles that the object of the treaties is to promote economic development. Developing States make investment treaties which involve considerable erosion of their sovereignty in the belief that the treaties will promote the flow of foreign investment and thereby foster economic development. Whatever its correctness, it is this belief that justifies the sacrifice of sovereignty. It is also a reason why they accept ICSID arbitration which also has been sold to them on the basis that acceptance of such an argument and the consequent exclusion of their own judicial sovereignty over investment disputes, as required by the Calvo doctrine and Article 2(2)(c) of the Charter of Economic Rights and Duties of States, will promote economic development.

It now appears that in a system that has been built up on the promise of economic development as the *quid pro quo* for surrendering sovereignty, some arbitrators would hold that an investment would be entitled to protection even when it is clearly shown to be of no value in promoting economic development. In the decision on annulment in *Malaysian Historical Salvors Sdn Bhd* v. *Malaysia*, the majority took the view that the criterion of economic development was not necessary for the identification of a foreign investment that is protected by an investment treaty or is capable of generating a dispute that could be settled before ICSID.[39] Both conclusions go against the basic suppositions of investment treaties as well as of the ICSID Convention. The World Bank has no mandate to provide general arbitration services. The only justification for the creation of ICSID, an arm of the World Bank, is that it is based on the rationale, false or true, that its existence will create investor confidence and result in flows of investment into its

[38] *Patrick Mitchell* v. *Democratic Republic of the Congo* (ICSID Case No. ARB/99/7, Decision on Annulment of 1 November 2006), paras. 27–33.

[39] *Malaysian Historical Salvors Sdn Bhd* v. *Malaysia* (ICSID Case No. ARB05/10, Decision on Annulment of 16 April 2009), paras. 58–80.

developing-country members. Economic development lies at the very root of ICSID arbitration. A transaction which does not satisfy the criterion of economic development cannot qualify for jurisdiction under the ICSID Convention.[40] The decision on annulment would convert any commercial dispute into a foreign investment dispute as long as there is a transborder flow of assets. This is of course not the purpose of investment arbitration or of investment treaties. Again, the expansion suggested in *Malaysian Historical Salvors* goes beyond the intention of the parties and will undoubtedly provoke a reaction of concerned States.

Another potential source of discord has been opened in the award in *Phoenix Action Ltd* v. *Czech Republic*.[41] There is a passage in the award which states the view that a contract that involves genocide or torture cannot found jurisdiction. The present writer has argued for such a principle on the basis of *ius cogens* principles and suggested that there was a doctrine of arbitrability in investment law that denied jurisdiction in disputes violating such principles.[42] The proposition was cast in wider terms to include principles such as self-determination, bribery and contracts made by non-representative governments. One would think that in all these instances too, where principles of *ius cogens* are violated, it is unlikely that the element of economic development can be satisfied. Eventually, there would be a coalescence of investment arbitration situations with the situations under the Alien Torts Act so that all issues

[40] The criteria including economic development as indicia for a protected investment, as stated in *Salini Costruttori SpA and Italstrade SpA* v. *Morocco* (ICSID Case No. ARB/00/4, Decision on Jurisdiction of 23 July 2001), para. 52, was to a large extent based on the statement in the first edition of Schreuer's commentary: Christoph Schreuer, *The ICSID Convention: A commentary* (Cambridge University Press, 2001), p. 140. In the second edition, the requirement of economic development is stated in a muted fashion: see e.g. Christoph Schreuer *et al.*, *The ICSID Convention: A commentary*, 2nd edn (Cambridge University Press, 2009), p. 134. ICSID, unlike other arbitral institutions, was set up to provide for the arbitration of investment disputes on the assumption that such arbitration gives stability to foreign investment, thereby promotes flows of foreign investment and hence leads to economic development. Any investment that does not coincide with these aims cannot qualify as investment under the ICSID Convention. The sole arbitrator in *Malaysian Historical Salvors Sdn Bhd* v. *Malaysia* (ICSID Case No. ARB05/10, Award on Jurisdiction of 17 May 2007) made the mistake of going off on a tangent in stating his own theories on the definition of investment rather than making a straightforward finding of fact that the services contract involved in the dispute was not a foreign investment transaction protected by the BIT or by the ICSID Convention.

[41] *Phoenix Action Ltd* v. *Czech Republic* (ICSID Case No. ARB/06/5, Award of 15 April 2009).

[42] M. Sornarajah, *The Settlement of Foreign Investment Disputes* (The Hague: Kluwer, 2001), pp. 186–8.

relating to violations of the environment or human rights will impact investment arbitration. When this happens, the system of investment arbitration will be threatened with collapse as its primary purpose of investment protection will become untenable. Avenues have been created for States to plead such issues, particularly when the claimant seeks to advance arguments relating to the fair and equitable treatment standard. The respondent State could then argue that the tribunal should take account of the impact of the foreign investment on the environment or the human rights situation within the State. Economic development is associated with both concerns.

States have also hit back at the expansion of investment by requiring strict proof of compliance with the local laws in making the investment,[43] and seeking to challenge the original contract on the basis of which entry was made on grounds such as fraud or bribery.[44] These developments also introduce uncertainty into the law so that investment protection is not going to be easily achieved. It is, for instance, often the case that foreign investment is tainted by bribery.

The instability introduced into the law through expansionist interpretations has led States to explore all possible avenues of resisting jurisdiction. At least, so far, this has been done within the system, through withdrawal. Ecuador and Bolivia demonstrate the more extreme responses to such arbitral activism. The nature of State resistance on the basis of increasing challenges to jurisdiction will significantly erode the importance to foreign investors of investment treaty arbitration. Some argue that this withdrawal may set a trend for the return of older stances hostile to arbitration in Latin America.[45] Indeed, at a much earlier stage, there are increasing challenges mounted to the appointment of arbitrators.[46] Some of the successful challenges demonstrate the incestuous nature of investment arbitration where a small clique of persons act as

[43] *Fraport AG Frankfurt Airport Services Worldwide* v. *Philippines* (ICSID Case No. ARB/ 03/ 25, Award of 16 August 2007); *Inceysa Vallisoletana S.L.* v. *El Salvador* (ICSID Case No. ARB/03/26, Award of 2 August 2006).

[44] For fraud, see *Feldman* v. *Mexico* (ICSID Case No. ARB(AF)/99/1, Award on Merits of 16 December 2002); for bribery, see *African Duty Free Ltd* v. *Kenya* (ICSID Case No. ARB/00/7, Award of 4 October 2006).

[45] Vincentelli, 'The uncertain future of ICSID in Latin America'. It appears from this article that the Venezuelan Supreme Court has held that despite the existence of unilateral consent by the State in a BIT for arbitration, there must in addition be a written unequivocal consent to arbitrate in the specific case. Decision 1541 of the Venezuelan Supreme Tribunal; 17 October 2008.

[46] See e.g. ch. 20 by Sam Luttrell in this volume.

counsel on the sides of both claimants as well as respondent States and also sit as arbitrators. They also become the 'highly qualified publicists' in the area, writing up their opinions as articles to be published in glossy journals run by their clique. The fact that these arbitrators are increasingly challenged on account of bias also exhibits the rot that is setting in at the very core of arbitration.

### B *Neoliberalism and substantive law on investment protection*

Neoliberalism has distinct tenets that have been worked out by its proponents. Its central themes of protection of property and contracts have been present in the international law on foreign investment from the time of the theory of internationalisation. Its new themes have been to address it through a redefined rule of law that conveys the messages of market fundamentalism and liberalisation of the flow of assets. The rule of law as a Diceyan concept which stood as a bulwark to protect the citizen against public power has now been given other garbs to protect private power and promote market fundamentalism. Courts and judicial tribunals have been pressed into service. The messages assume authority as they are included in the package that has come to be known as the 'Washington Consensus'.[47] The law assumes an instrumental role in purveying the tenets of neoliberalism. The message is addressed through the law so that there would be no gainsaying. The increasing judicialisation of the messages in terms of domestic law has been commented upon.[48] The same phenomenon is to be found in international law, particularly in the law relating to international trade and international investment. The role of the dispute-resolution machinery, strongest in terms of international law mechanisms, is well known. The arbitral tribunals in investment imitate this role, though they may not have the same status.

[47] See e.g. Rudolf Dolzer and Christoph Schreuer, *Principles of International Investment Law* (Oxford University Press, 2008), p. 11:

> The common core of the policies embodied in investment treaties, in the Washington Consensus, and in the principle of good governance lies in the recognition that institutional effectiveness, the rule of law and an appropriate degree of stability and predictability of policies form the governmental framework for domestic economic growth and also for the willingness of foreign investors to enter the domestic market.

[48] See e.g. Ran Hirschl, *Towards Juristocracy* (Cambridge, MA: Harvard University Press, 2004).

Once the tenets are stated, ridicule and condemnation await those who seek to contest the messages. Those who state the messages are given status within the establishment. Chairs are given at universities to practitioners in the field either because academics want a share of the golden eggs or because legitimacy has to be given to the messenger. Either reason indicates decrepitude in academic life. Individuals come to play leading roles in the process of the use of the law in conveying the messages of neoliberalism. One has to conform to the rules to belong to the arbitral fraternity. The rules require promotion of neoliberal tenets of the institutions which control arbitration.

Fortunately, there is another type of arbitrator. These arbitrators owe fidelity to the rules of arbitration which demanded neutrality. Schisms that developed relating to substantive rules relating to investment arbitration reflect that they were the results of deep-seated ideological conflicts rather than the result of differences in terminology in the different treaties or the dominance of the field by commercial arbitrators who did not understand the implications of the public law features of the contracts they were dealing with.[49] Lawyers work on the premise that they are trained to find and apply the law. They do not work on the distinction between private and public law. Neither of these explanations fit. The commercial arbitrators who sit in investment arbitration have the undoubted capacity to master the area. They are simply predisposed to neoliberalism as the practice of the profession at the particular period of time requires such an inclination. The schisms have occurred in awards involving disputes containing the same facts,[50] or in disputes that involved the same clause in treaties of the same State.[51]

The schisms are recognised as a problem. The attempt to solve them by creating an appellate body has been given up. This is sensible. It would be unsound to build a superstructure on rotting foundations. They will have the same types of arbitrators. The problem will be compounded.

[49] See especially Gus van Harten, *Investment Treaty Arbitration and Public Law* (Oxford University Press, 2007).

[50] See e.g. *CME Czech Republic BV* v. *Czech Republic* (UNCITRAL Arbitration, Partial Award of 13 September 2001); *CME Czech Republic BV* v. *Czech Republic* (UNCITRAL Arbitration, Final Award of 14 March 2003); *Ronald Lauder* v. *Czech Republic* (UNCITRAL Arbitration, Final Award of 3 September 2001).

[51] Compare e.g. *SGS Société Générale de Surveillance SA* v. *Islamic Republic of Pakistan* (ICSID Case No. ARB/01/13, Decision on Jurisdiction of 6 August 2003); *SGS Société Générale de Surveillance SA* v. *Republic of the Philippines* (ICSID Case No. ARB/02/6, Decision on Jurisdiction of 29 January 2004).

With these remarks, I now turn to demonstrate the view taken by looking at just two areas in which there has been expansion and reactions to such expansion. The first is the situation relating to the interpretation of the fair and equitable treatment standard in investment treaties and the second relates to the course of developments in the law on expropriation. I have in a more detailed study subjected other areas of the law to similar analysis,[52] but it is sufficient for the purposes of these comments to illustrate the propositions I wish to make with these two areas as briefly as possible.

### 1 The fair and equitable treatment standard

This was a standard that has been referred to in treaties for many years but it remained dormant until 2000. Professor Schreuer has suggested that in five years, from 2000 to 2005, this amorphous standard has been given new meaning which has given rise to liability of States under this standard. So, whereas the meaning of the international minimum standard which has been used for so many years still remains contentious, we are told that the fair and equitable treatment standard has a meaning which has developed in just five short years. The reason for the sudden attention being given the fair and equitable treatment standard is that there is no wind behind expropriation claims once it became clear that the attempted extension of expropriation through the phrase 'tantamount to an expropriation' did not succeed. Reisman and Sloane believed this phrase, which was to provide the new bridgehead for neoliberal expansion, was brought to a brutal end the very year the article appeared by the formulation in the 2004 US Model BIT.[53] The 'international minimum standard' was a non-starter because of the high standards required by the rule in the *Neer* claim.[54] The effort to deviate from the *Neer* claim did not succeed. The only remaining option for the neoliberal thrust was to focus on the moribund provision of the fair and equitable treatment standard and to breathe life into it.

One can almost trace the origin of the idea. In his paper at the ASIL Conference in 2005, Professor Orrego-Vicuña suggested on the basis of his interpretation of English administrative law that legitimate expectations of a foreign investor resulting from promises held out to him at the time of his entry by the authorities of the host State should be

52 See e.g. Sornarajah, 'Towards normlessness'.
53 Michael Reisman and Robert Sloane, 'Indirect expropriation and its valuation in the BIT generation', *British Yearbook of International Law*, 74 (2004), 115.
54 *Neer*, 4 UNRIAA 60 (US–Mexican General Claims Commission, 1926).

protected and that this could be achieved through the fair and equitable treatment standard.[55] As a proposition of English administrative law, the conclusion drawn is clearly incorrect. Legitimate expectations are protected in English law through a right to a hearing before there is an administrative interference. There is only one case in which it has given rise to a substantive right.[56] The position is similar in European administrative law as well as in the administrative law of Commonwealth States. The plain fact is that administration through changes in tax and other regulatory laws would be well-nigh impossible if substantive rights were to be given to all whose expectations have been dashed.

There was given sufficient opportunity to translate this error into investment law through a series of ICSID awards. *Dicta* was built up which recognised a substantive rule that violation of commitments made at the time of the entry would amount to a violation of the fair and equitable treatment standard as it would interfere with the legitimate expectations of the foreign investor. The fair and equitable treatment standard has now been reinterpreted to include a substantive rule relating to legitimate expectations. The result is as if a stabilisation clause, though not negotiated by the parties, is driven into every foreign investment transaction as the expectations created at the commencement of the contract are frozen for all time.

The concept of legitimate expectations was in fact discussed in *Aminoil* which also concerned stabilisation clauses. In *Aminoil*, it was held that a negotiated stabilisation clause, while valid to maintain some stability for the initial period of the investment when the project had not yet established itself, cannot be considered as freezing the law of the

55 Francisco Orrego Vicuña, 'Foreign investment law: How customary is custom?', *Proceedings of the American Society of International Law*, 99 (2005), 97, 99–100.

56 *R* v. *North and East Devon Health Authority; ex p. Coughlan* [2001] QB 213. The House of Lords has recognised that there is a concept of substantive legitimate expectations. *R* v. *Ministry of Defence; ex p. Walker* [2000] UKHL 22, [2000] 1 WLR 806. Professor Paul Craig, on whose academic writings this exceptional category was constructed by the English courts, has observed that this rule is confined mostly to cases where representations were made to one person or a few people. He pointed out that there are two lawful exercises of power: the initial promise, and the later policy change. He suggested that the notion of abuse of powers be used to reconcile the two conflicting exercises of power. A substantive legitimate expectation could be frustrated where there is an overwhelming public interest but whether such a public interest existed or not is a matter for the courts. See Paul Craig, 'Grounds for judicial review: Substantive control over discretion' in David Feldman (ed.), *English Public Law*, 2nd edn (Oxford University Press, 2009), pp. 737–8. See further Sornarajah, *The International Law on Foreign Investment*, pp. 354–5, n. 97.

host State for the whole duration of the contract.[57] The major significance of *Aminoil* was that it accepted that, the stabilisation clause notwithstanding, changed circumstances that upset the contractual equilibrium should lead to the restoration of that equilibrium through renegotiations. There is good basis for such a course in different national systems. It is also a sound policy to follow in relational contracts for friction would be reduced and the contract kept alive if the inflexible rule of contractual sanctity gives way to a rule that promotes constant efforts to make changes in the light of external circumstances that bring about changes that make the contract less profitable to one of the parties or its performance more onerous.

The legitimate expectations rule, formulated as a substantive rule, leads to inflexibility in the light of dramatic changes in circumstances. The rule was applied in the context of the Argentine economic crisis which tribunals are slowly coming to recognise as involving a situation of necessity.[58] Clearly, that was a situation for not stating an inflexible rule on contract or investment protection. The more the tribunals stress investment protection at all costs and evolve inflexible rules, the greater the chances that States are going to ditch the system that acts as a hindrance to taking measures to cope with difficult situations that arise such as economic crises. The over-zealous creation of new doctrines may lead to good business for arbitrators in the short term but in the long run, it would be counterproductive as States would rebel against a system that ties their hands precisely in situations where definite action on their part is necessary. In any event, the legitimacy of the process of such law creation in the field has been rightly subjected to doubt.

State reaction could be swift. In the context of NAFTA, the interpretive statement of the NAFTA Commission put an end to arbitral activism that was contemplated in *Pope and Talbot*.[59] The linking of the fair and equitable treatment standard to customary international law standards has now passed into treaty language. It is found in the Canadian and US Model BITs as well as in other newer treaties. In some of the newer treaties the standard is not even mentioned. There is some effort to isolate the experience in NAFTA as confined to NAFTA and maintain the

[57] *Government of Kuwait* v. *American Independent Oil Company* (Award of 24 March 1982), 21 ILM 976.

[58] See e.g. *Continental Casualty Company* v. *Argentina* (ICSID Case No. ARB/03/9, Award of 5 September 2008).

[59] *Pope & Talbot Inc.* v. *Canada* (UNCITRAL Arbitration, Award on the Merits of Phase 2 of 10 April 2001), paras. 105–18.

new development that the fair and equitable treatment standard is an autonomous standard in other treaties. Again, this is an attempt to treat other States as not equal to the developed States that were affected by the interpretations of NAFTA. The history of the fair and equitable treatment standard shows its strong nexus with the customary law international minimum standard.[60]

It is an effort reminiscent of the old idea of economic development agreements which involved doctrines applied to developing countries but not to precisely the same type of contracts made in developed countries. This inequality in treatment is no longer tenable. Many of the States of the so-called developing world can hardly be so described. Many – China, India, Brazil, Singapore, Malaysia, etc. – send large investments into the US and Europe which are now the largest receivers of capital. In a few years, it would be the US, Europe and Japan, the triad that makes instrumental international law, which may come to squeal about what is stated as the fair and equitable treatment standard.

The idea that standards of governance must be imposed again brings back notions of the old habits about civilised nations giving the law to the barbarians. The fair and equitable treatment standard is represented as containing standards of governance which are all taken selectively from the legal systems of the Western world which is fast diminishing in significance as a provider of norms to the rest of the world. It is a part of the neoliberal misadventure that sought to spread the norms of market fundamentalism to the rest of the world. When that project floundered in the West with the economic fall of 2008, it could hardly be expected that the norms it generated were suitable for application universally. The use of the fair and equitable treatment standard to drive the tenets of contractual sanctity and property protection is an instrumental use of the law done without a mandate from the affected States. It is also a task performed by arbitrators whose authority to so extend the law must be contested. As in the past, where, sordidly, some of the great names in international law collaborated in the creation of a one-sided law supporting the theory of internationalisation of foreign contracts, favouring the interests of multinational corporations to the detriment of developing countries, so too law is being created by a handful of men and a few women that is to be regarded as international law. The democratic legitimacy of this fraternity to so create law that is binding on States is extremely suspect. I raise the question whether the law that has been

[60] See e.g. ch. 4 by Martins Paparinskis in this volume.

created serves the need of humanity or serves the greed of a few whose interests have been furthered.[61]

International law, constructed through power, has hidden the role of private power to create its norms through recourse to doctrinal positions. Despite the fact that the British and Dutch East India Companies conquered nations and exerted power in large parts of the world, they had no personality in international law and the myth was maintained that they could not be subjected to international law though the whole project was to create and conserve advantages for these corporations through principles of freedom to trade and the freedom of the high seas. Private power continues to be used to create doctrines for the modern multinational corporations through the use of low-order sources of international law like the decisions of tribunals and the writings of 'highly qualified publicists' who are no more than hired guns writing their legal opinions as academic articles and having them cited by their fraternity as highly persuasive authority. They speak of a '*jurisprudence constante*' when the concept is leaking so profusely. The fact is that since they have appeared on both sides, their legal opinions vary so much depending on the highest bidder. Such mercenary lawmaking that conserves the interest of the handful will result in the system being treated with contempt. The quick rush to find a '*jurisprudence constante*' and the efforts to create a multilateral system through the interlinking of these awards and treaties when all efforts at multilateral codes have failed and the effort to constitutionalise the economic norms based on these awards are symbols of this malaise. It is also disconcerting for me, as an older academic, to see how academic writing of many younger colleagues coalesces in support of these developments though it is very obvious that the trends are one-sided and this creates problems of justice. Little criticism is made of these trends. Sadly, one has to concur with Dean Kronman's view of the Lost Lawyer – that in the changed world the values of humanity and statesmanship that dictated the legal profession have been lost and have been replaced by purely mercenary values of career advancement.[62] This is not to deny the need for a law on investment protection. There is need for investment protection but it must not be created capriciously to favour one side without recognising the problems that States are faced with or looking at the issues involving economic development, poverty, welfare needs, the environment and

[61] I have addressed this more fully in Sornarajah, 'A law for need or a law for greed?'.
[62] Kronman, *The Lost Lawyer*.

other factors on which there is much international law that is relevant to the issue of investment protection.

## 2 Expropriation

The second theme that I shall deal with is expropriation. Not that there are no other examples. The field is replete with them indicating the descent into normlessness. I choose expropriation to illustrate the descent. The law on expropriation was expanded well beyond its moorings in the physical taking of property and its subsequent assimilation of indirect takings bringing about results similar to physical dispossession. But, the phrase 'tantamount to an expropriation' began to appear in investment treaties signalling a possible third category of expropriation. Reisman and Sloane, writing in 2003, regarded the future course of expropriation law as depending on identifying this category of expropriations.[63] It seemed to be a category limited only by the imagination of North American lawyers who had strayed into the subject as a result of NAFTA. Fancy theories of litigation were the basis of new claims. In *Ethyl Corporation* v. *Canada*,[64] an announcement of a ban on a petrol additive manufactured by the US claimant suspected to be a carcinogen was alleged to be an expropriation as it caused the value of the shares in the American company to fall. Canada settled the case, paying compensation. Canada also is reported to have given up legislation requiring warnings regarding health hazards of smoking on cigarette cartons as claims relating to expropriation were threatened. Clearly, at this stage, there was a belief in governments that regulation or even threats of regulation against foreign investment would be 'tantamount to expropriation'. Awards like *Santa Elena* v. *Costa Rica* and *Ethyl* v. *Canada* helped to accentuate that fear with views that environmental legislation would still be considered expropriation whatever the public merits of the legislation are.[65] The fear had to be removed. *Methanex* v. *US* removed that fear by creating an exception for regulatory expropriation which socked a huge hole in perceptions regarding the scope of expropriation and the confident prediction that the future course of the law lay with

[63] Michael Reisman and Robert Sloane, 'Indirect expropriation and its valuation in the BIT generation', *British Yearbook of International Law*, 74 (2004), 115.

[64] *Ethyl Corporation* v. *Canada* (NAFTA, Decision on Jurisdiction of 24 June 1998).

[65] *Compania de Desarrollo de Santa Elena SA* v. *Costa Rica* (ICSID Case No. ARB/96/1, Award of 17 February 2000); *Ethyl Corporation* v. *Canada* (NAFTA, Decision on Jurisdiction of 24 June 1998). The cases are fully dealt with in Tienhaara, *The Expropriation of Environmental Governance*.

the category of expropriation regarded as 'tantamount to expropriation'. So, another neoliberal project was brought to an end. The newer treaties contain such a broad exception of regulatory takings that the scope of expropriation law has to undergo a fundamental change. It would of course be argued that the development should be limited to NAFTA, a favoured neoliberal response. It is not likely that this view would be adopted. The newer treaties are already incorporating similar restrictions in other regions.

## IV The future of investment arbitration

At present, it would seem that the future of investment arbitration based on treaties is bleak. The reaction of States to the ready manner in which such arbitrations are brought indicates disenchantment with the system.

## V Conclusion

Conventional works seek to analyse this area as if there is nothing wrong that is taking place. These are views of those who have a vested interest in the law remaining as it is and the neoliberal trends stabilised and advanced. That may be a possible course the law will take. But it is unlikely to be so. We have already seen the response of withdrawal in Latin America and it could well be that that part of the world will revert to the Calvo clause. The other pronounced response has been to emasculate the treaties by consciously providing defences. States that have been respondents have already started exploring defences while treaties remained wedded solely to the idea of protection. States have explored and established defences such as the need for economic development in bringing the case within the notion of investment and the requirement that the entry should have conformed to the laws of the host State and have explored limitations inherent in time factors. The limits of defences such as necessity in terms of public international law and its application in the investment context remain to be worked out. States are becoming smart, too, and will explore defences more fully. That is again a response which will greatly weaken the law by introducing imprecision. The third and the most damaging of the developments is that defences have come to be expressly introduced into the treaties making the treaty instrument unstable and inherently worthless to the investor.

Clearly, the law in this area is marked with norm conflicts similar to the one that existed prior to the certainties of the neoliberal times. With the economic crisis and the retreat of neoliberalism, dissent against the neoliberal norms will gather vigour. The foreign investors themselves will see little value in such an uncertain system. It is clear that a change has to come about which will significantly undermine the existing system.